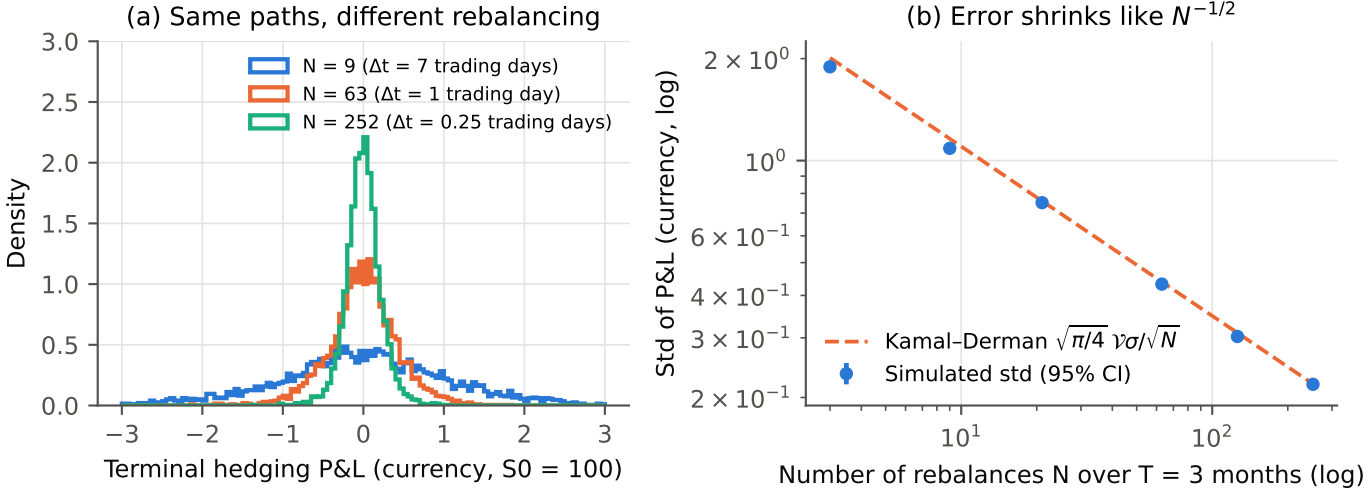
(a) Same paths, different rebalancing
N = 9 (Δt = 7 trading days)
N = 63 (Δt = 1 trading day)
N = 252 (Δt = 0.25 trading days)
Density
Terminal hedging P&L (currency, S0 = 100)
(b) Error shrinks like $N^{-1/2}$
Std of P&L (currency, log)
Kamal–Derman $\sqrt{\pi/4}\,\nu\sigma/\sqrt{N}$
Simulated std (95% CI)
Number of rebalances N over T = 3 months (log)